Student housing decision - executive summary

Base project NPV: EUR 973,486; project IRR 9.13%.

NPV excluding terminal sale: EUR -1,775,874. Excluding sale omits a residual asset that remains owned.

Maximum zero-NPV acquisition price: EUR 5,365,321.

Best social allocation: 24 of 120 rooms; NPV EUR 973,486.

Probability negative NPV under subjective independent triangular inputs: 45.2%.

Recommendation: HOLD pending legal/site clearance; financial recommendation is conditional on the model assumptions and DSCR.

Legal quota reference: City of Brussels 2021 guidance 20% from 30 units; applicability to selected municipality Ixelles remains unverified.

Limitations: pre-tax, no construction delay schedule; no native Solver/Data Table/Excel test. Travel times and land prices are illustrative.

Financial model and audit

Year 0 contains acquisition, duties, works, professional fees, contingency, works VAT, furniture and working capital. Operations run years 1-20. Nominal rent growth and expense inflation are separate inputs.

Project cash flows exclude debt financing. Equity cash flows deduct interest and principal; remaining debt repaid on sale. Working capital is released at exit.

Simple and discounted payback are presented separately with/without terminal sale. Negative financial outcomes are preserved.

Monte Carlo uses 1000 seeded independent triangular draws for works, rent, occupancy and exit value. Parameters are management assumptions, not calibrated empirical probabilities.

Sources and outstanding legal checks

City of Brussels reference: 20% social student units from 30 created units. Guidance not transplanted to Ixelles. https://www.bruxelles.be/sites/default/files/bxl/Recommandations_logements_etudiants_VBX_17juin2021.pdf

Standard room EUR449.30/month including services in 2026-27. https://www.vub.be/en/studying-vub/practical-info-for-students/student-housing/practical-housing-information

Brukot ordinary room median EUR500 base / EUR590 incl charges. https://www.brukot.be/en/student-guide/rent-stats

General Brussels acquisition duty 12.5%; VAT regime may replace duty for particular transactions. https://be.brussels/en/taxes-finances/taxes/property-related-taxes/registration-duties

Regional safety, sanitary and equipment requirements apply; 2026 rules must be checked against measured plans. https://be.brussels/fr/logement/location/conformite-logement/normes-et-securite

Reference disclosure and qualified excessive-rent framework; no universal price cap assumed. https://be.brussels/fr/logement/location/bail-dhabitation/loyers-de-reference

IBSA publishes commune dwelling sale prices, not verified buildable land EUR/m2 for our sites. https://ibsa.brussels/themes/logement/prix-des-logements

Selected building planning permit, university agreement, fire/accessibility review, tax assessment and measured layout remain outstanding.

Validation and next actions

Annual NPV with/without sale; all 121 mix alternatives; 50 MC trials; zero-NPV purchase ceiling; input direction and debt reconciliation passed

Quota applicability unverified; no site legal clearance

No native Excel desktop or Solver execution

Pre-tax: corporate income taxes excluded

Commute times and land budgets unverified

Occupancy independent of rent in this basic course model; no demand elasticity calibration

Obtain actual offers and an address, verify municipal permit conditions, replace assumed travel/land budgets, and secure finance before committing.